

Taxable activity defined [¶32-024]

[¶32-024]

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Registration is available (or required) only if a person carries on, or intends to carry on, a “taxable activity”. As a general rule, supplies may be charged with tax only if they are made in the course or furtherance of a “taxable activity”.

The elements of a taxable activity

Under the Act, the term “taxable activity” means:

Any activity which is carried on continuously or regularly by any person, whether or not for a pecuniary profit, and involves or is intended to involve, in whole or in part, the supply of goods and services to any other person for a consideration; and includes any such activity carried on in the form of a business, trade, manufacture, profession, vocation, association, or club:

In addition, the activities of a public or local authority or a public purpose Crown-controlled company are also specifically provided to constitute a taxable activity.

The elements of the definition are that there is an “activity”, that the activity is carried on “continuously or regularly” and that the activity “involves (or is intended to involve) the supply of goods and services to any other person for a consideration”. A business, for example, generally would amount to a taxable activity. The definition does not exclude activities carried on outside New Zealand. Each of the three specified elements is discussed below.

The Commissioner’s view on the meaning of taxable activity and its general application is set out in detail in [IS 25/21](#), “GST – taxable activity”. This item also provides detailed commentary and examples on the beginning and ending of a taxable activity for the purposes of s [6\(2\)](#) of the Act.

Activity

The word “activity”, while not defined in the Act, appears to be given a broad construction. It has been described in *Newman v C of IR* ([1994](#) [16 NZTC 11,229 \(HC\)](#)) at 11,233 as “an occupation, a pursuit ... things that a person, animal or group chooses to do ... a course of conduct or series of acts which a person has chosen to undertake or become engaged in”. The word “activity” was examined in *Bayly Trust v C of IR* ([1998](#) [18 NZTC 13,559 \(HC\)](#)) where the High Court noted that the word “activity” involves the concept of a person doing something, being active, or taking some action.

Continuity or regularity

The Taxation Review Authority interpreted the phrase “continuously and regularly” in Case N27 ([1991](#) [13 NZTC 3,229](#)):

“Continuously” means that the “activity has not ceased in a permanent sense, or has not been interrupted in a significant way ... The object and purpose of any physical break in the activity may be of importance in determining whether or not the activity is being carried on continuously.” (Judge Bathgate at 3,238–3,239.)

“Regularly” embodies “a steadiness or uniformity of action, or occurrence of action, so that it recurs or is repeated at fairly fixed times, or at generally uniform intervals, to be of a habitual nature and character.” (Judge Bathgate at 3,239.)

The frequency of repetition appears to be a significant factor in determining whether the activity is carried on continuously or regularly. The two words are therefore complementary: “regularly” being concerned with repeated exercises and “continuously” with an ongoing project or projects (see Examples 1-3 in [IS 25/21](#)).

Supply for consideration

Though the goods and services must be supplied for a consideration, the purpose of the supply is immaterial. The activity need not be carried on for profit. The intention to make a pecuniary profit is expressly excluded from the definition of a taxable activity. This element of the definition of “taxable activity” extends its meaning beyond business activities under the IT07. Non-profit organisations, for example, may therefore carry on a taxable activity if goods or services are supplied for a consideration (ie payment is not an unconditional gift: see [¶32-027](#)). The actual supply of goods and services is not necessary. A mere intention to supply goods and services for a consideration will satisfy this aspect of the definition, even though the consideration may not be received later by the supplier (see Examples 4-6 in [IS 25/21](#)).

Exclusions from taxable activity

The following activities are specifically provided not to be taxable and people cannot register or charge GST in respect of them:

- # private recreational pursuits or hobbies (whether carried on by natural persons, or by non-natural persons such as companies) (see Examples 14-19 in [IS 25/21](#))
- # occupation as an employee and company directorships (other than occupations and directorships accepted in the course of the person's own taxable activity), subject to s [6\(4\)](#) in relation to directors' fees: see [¶32-635](#)
- # occupation or employment in certain positions (including as an MP, the Governor-General, as chairman or member of a local authority or other board, a judge, Solicitor-General, Controller, Auditor-General or Ombudsman), and
- # activities to the extent to which they involve the making of exempt supplies.

Private recreational pursuit or hobby

A taxable activity does not include “any activity carried on essentially as a private recreational pursuit or hobby”. Judge Bathgate stated in Case N27 ([1991](#)) [13 NZTC 3,229](#) at 3,240 that this phrase requires “in essence, a private pastime or pursuit carried on for the personal refreshment, pleasure or recreation of the person (or persons) concerned”. A business organised in a coherent fashion to achieve a pecuniary profit cannot fall within the exclusion. In addition, Judge Bathgate considered that:

- # “essentially” emphasises the necessity for the activity being clearly a private recreational pursuit or hobby, and
- # “private” means, for natural persons, a recreational pursuit or hobby enjoyed by one person or with other persons with a similar interest. An activity carried on by an office holder or a person in an official position is not a private activity.

Commissioner's view

The Commissioner's view of what constitutes a private recreational pursuit or hobby is reflected in [QB 17/04](#), “Goods and services tax — whether a racing syndicate can be a registered person”. This item concludes horse racing (as a stand-alone activity) will be a taxable activity where the taxpayer can establish all of the following matters:

- # The activity is organised to achieve a pecuniary profit, and it operates in a systematic fashion that, on an objective assessment, appears to materially reduce the element that luck plays in whether any prize money is won.
- # A significant amount of time is involved in performing the activity undertaken by the manager of the syndicate (including acquiring and managing the horses that are assisting in meeting financial imperatives and disposing of horses that are not).
- # The syndicate or partnership is formed not for the personal interest or pleasure of the participants, but for the purpose of making a profit from the activity, and it is operated in that manner.

The Commissioner's view is that, in the absence of these circumstances, the activity is a private recreational pursuit or hobby and is excluded from the definition of "taxable activity".

Law: GST s [6](#)

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